



Model Consent Form

American Apparel
Employee Guidebook + Standards
Sales Associate - Echo Park

DO NOT COPY

Name: _____
Age: _____
Sex: _____
Signature: _____
Leave Signature in Box Below:

Model Consent Form

Address all photos to office@americanapparel.net

Name: _____

Age: _____

Sex: _____

Preferences and Restrictions:

Leave Signature In Box Below:

Guide

- I. Employment; Position and Duties; Exclusive Services
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1. Employment; Position and Duties. Exclusive Services.

director of any subsidiary or affiliate of the Company.

a) Employment. The Company agrees to employ the Executive, and the Executive agrees to be employed by the Company, for the Term provided in Section 2 below and upon the other terms and conditions hereinafter provided.

(b) Position and Duties. During the term the Executive (i) agrees to serve as the interim Chief Executive Officer, Executive Vice President and Chief Financial Officer of the Company and to perform such reasonable duties may be assigned to him from time to time by the Board of Directors of the Company (the "Board"), (ii) shall report, as Chief Financial Officer, only to the Board, the Chairman or Co-Chairmen of the Board, the Chief Executive Officer, and the President of the Company, and as interim Chief Executive Officer only to the Board and the Chairman of the Board, (iii) shall be given such authority as is appropriate given the Executive's position in a company of the nature and size of the Company to carry out the duties described above, and (iv) agrees to serve, if elected, at no additional compensation in the position of officer or

(c) Exclusive Services. During the Term and except for illness or incapacity, the Executive shall devote all of his business time, attention, skill and efforts exclusively to the business and affairs of the Company and its subsidiaries and affiliates, shall not be engaged in any other business activity, and shall perform and discharge the duties which may be assigned to him from time to time by the Board, the Chairman of the Board or, as Chief Financial Officer, by the Chief Executive Officer consistent with his position; provided, however, that nothing in this Agreement shall preclude the Executive from devoting time during reasonable periods required for:

- (i) serving, in accordance with the Company's policies, as a director or member of a committee of any company or organization involving no actual or potential conflict of interest with the Company or any of its subsidiaries or affiliates,
- (ii) delivering lectures and fulfilling speaking engagements,
- (iii) engaging in charitable and community activities, and
- (iv) investing in personal

assets in Passive Investment. For purposes of this Agreement, a "Passive Investment" shall mean an investment in a business or entity which does not require the Executive to render any services in the operations or affairs of such business or entity and which does not materially adversely affect or interfere with the performance of the Executive's duties and obligations to the Company or any of its subsidiaries or affiliates.

(d) Place of Employment. The Executive shall perform his duties out of the Company's Los Angeles, California office (as same may be relocated in the same metropolitan area from time to time) or at such other location as shall be agreed to by the Company and the Executive.

2. Term of Agreement.

The term of employment under this Agreement shall initially be the period commencing on June 18, 2014 and ending on February 6, 2015, and shall be automatically extended without further action by either party for a consecutive one-year periods as of each February 6, beginning February 6, 2015,

(each, an "Extension Date"), unless written notice of the Company's intention to terminate this Agreement has been given to the Executive at least 90 days prior to the expiration of the Term (including any one-year extension thereof). As used in this Agreement, the "Term" shall mean the initial one year term plus any extensions thereof as provided in this Section 2.

3. Salary and Bonuses.

The Executive's cash compensation for all services to be rendered by him in any capacity hereunder shall consist of base salary and other compensation as provided in this Section.

(a) Salary. The Executive shall be paid a minimum base salary at the rate of \$62,500 per month for so long as the Executive serves as interim Chief Executive Officer and \$36,750 per month following the commencement of employment of a new Chief Executive Officer. The Executive shall be paid such bonus as shall be determined by the Board of Directors, provided

Setting the bar

be reviewed not less often than annually by the Compensation Committee of the Board (the "Committee") and may be increased, but not decreased, by the Committee on the basis of such review. The Executive's annual base salary shall, in effect from time to time, be reviewed after referred to as the "Salary."

(b) Performance Bonuses. The Executive will be eligible to receive an annual incentive compensation award in respect of each fiscal year of the Company during the Term of the Agreement, subject to the target payment of up to 5% (and a maximum payment of 100%) of salary during each such fiscal year, subject to the terms and conditions of the Company's annual bonus plan, and further subject to the following: EBITDA, net debt and other financial goals, criteria of performance, including, without limitation, the timely delivery of reviewed and audited, as applicable, financial statements and timely required SEC filings,

interim Chief Executive officer for any portion of such year(s)), the Executive Salary for such fiscal year shall be equal to the actual base salary that the Executive received during such fiscal year (including any increase in base salary that the Executive receives during any portion of such fiscal year by reason of serving as the interim Chief Executive Officer during such fiscal year).

4. Equity Awards

(a) As of the Effective Date, the Executive holds the equity awards set forth on Exhibit A. As reflected on that Exhibit pursuant to the terms of the Company's 2001 Omnibus Stock Plan (the "Equity Plan"), on the Effective Date the Compensation Committee granted to the Executive 350,000 fully vested shares of the common stock of the Company ("Common Stock").

(b) The Executive shall be permitted to satisfy his tax withholding obligations that arise in connection with any stock purchase or exercise to award issued pursuant to the Equity Plan or any successor thereto (including but not limited to the awards set forth on Exhibit A) with shares of Common Stock including shares of Common Stock.

exercised pursuant to the stock option under which the tax withholding obligation arises or unrestricted shares of Common Stock that vest pursuant to the restricted stock award under which the tax withholding obligation arises.

(c) In the event the successor corporation or a parent or subsidiary corporation of the corporation is sold or disposed of for any reason, the Executive shall, upon the exercise of stock options, restricted stock awards (including but not limited to the awards set forth on Exhibit A), the Executive shall (i) fully vest in and, have the right to exercise all of his outstanding stock options, including shares as to which such stock options would not otherwise be vested or exercisable, and (ii) fully vest in all of his outstanding restricted stock awards.

5. Pension and Welfare Benefits.

During the term, the Executive will participate in all pension and welfare plans, programs and benefits that are applicable to executives of the Company.

6 Other Benefits

(a) Travel and Business

Upon termination of the Executive's employment for any reason, the Executive agrees to resign, as of the date of such termination

and to the extent applicable from the Board (and any committees thereof) and the Board of directors of any of the Company's affiliates and direct or indirect subsidiaries (and any committees thereof), applicable, and in the person as an officer of the Company, and each of the Company's affiliates and direct or indirect subsidiaries (as determined for cause; Reasonable without Good Reason).

(1) If the Executive's employment is terminated by the Company for Cause (as defined below in this Section) or if the Executive resigns from his employment without Good Reason (as defined below in this Section) or Disability (as defined below in this Section), then, upon the expiration of the term, the Executive shall be entitled to receive: (A) Salary provided for in Section 3(a) accrued through the date of such resignation or termination; and (B) any unreimbursed expenses. The Executive shall not receive or otherwise be entitled to receive any payments to participate in any pension, profit sharing or other programs or benefits described in Section 3(a) hereof with respect to periods after the date of such termination or

eligible to receive any annual performance bonus or long term performance bonus in respect of the year of such termination or resignation or any calendar year following the year in which such termination or resignation occurs. Any bonus earned in respect of year prior to the year in which such termination or resignation occurs shall be payable in the same manner as bonuses are paid to participants in the applicable bonus plan. Subject to Section 10 and Section 19, the Executive shall have no right under this agreement or otherwise to receive any other compensation, or to participate in any other plan or arrangement or benefit, with respect to future periods after such termination or resignation of employment (except to the extent provided for under benefits of any such plan or arrangement or benefit) (including any "Change of Control" which shall mean termination by or for the Board of Directors, approval and command from the Committee (as defined below), because of: (A) the Executive's willful and continued failure (other than by reason of the incapacity of the Executive due to physical or

mental illness) substantially to perform his duties hereunder; (B) the conviction of the Executive of the Executive entering a plea of guilty ornolo contendere to a crime that constitutes a felony or the Executive being convicted of a crime that constitutes a felony or the Executive being dishonored at a hearing; (C) any willful misconduct by the Executive that is injurious to the financial condition or business reputation of the Company or any of its affiliates or subsidiaries; or (D) chronic alcoholism or drug abuse which materially affects the Executive's performance hereunder, provided, however, that no event or circumstance shall be considered to constitute a cause within the meaning of this clause (ii) unless the Executive has been given written notice of the events or circumstances constituting Cause and has failed to effect a cure thereof within 30 calendar days following the receipt of such notice.

(iii) Resignation or "Reason" shall mean the resignation of the Executive because of (a) a material reduction in the Executive's responsibilities, duties,

